

The research on Level 3 took some time and effort. However, at the end, the thesis was very simple. It was a matter of setting probabilities on the way events were likely to play out. I thought about the investment in a nutshell in four ways:

1. The cast of characters was of critical importance in this investment. I ascribed the odds of Walter Scott Jr. lying as being well under 1 percent. When Jim Crowe makes statements in press releases or at the company's annual meeting, it is pretty much the same as Walter Scott Jr. making those statements. The odds I ascribed to Jim Crowe blatantly lying in a very public forum was under 1 percent as well. Wall Street did not even attempt to handicap this important fact. For them, the entire sector was in meltdown, and the people and what they were saying didn't matter. Well, they do matter.
2. If Jim Crowe was not lying, then it follows from that statement that they would try their hardest to stay out of bankruptcy. This was not a company that would throw in the towel and file until every stone had been turned. This meant that they'd conserve their dry powder of \$2.1 billion until the company got to being cash flow positive. The \$2.1 billion of liquidity meant that Level 3 debt holders would receive interest payments for at least three years.
3. Good management gives you upside options for free. Walter Scott Jr. had a pristine reputation. Level 3 was in a situation very much like GEICO found itself in the early 1970s. Warren Buffett's injection of money into GEICO then did two things: (a) it took away the liquidity crisis they were facing, and (b) with the liquidity cloud gone, the stock rallied and traded on underlying fundamentals. Once Mr. Buffett invested in GEICO, he could not lose money on the investment. If Level 3 had more cash on hand, its debt would trade at par and its ability to get marquee customers would be significantly enhanced. With friends like Warren Buffett and the goodwill that Walter Scott Jr. had, Level 3 had many levers it could pull to erase any liquidity issues. Over the next few years, on the backs of the reputation of the cast of characters, it did pull several of these levers.
4. While I had no way of knowing how this would play out, in 2003, Level 3 did use its goodwill. It did a private convertible debt